May 17, 2026 10:21 PM GMT

Meta Platforms Inc | North America

Headcount Reductions and the Neocloud Backup Optionality

We update our model for an expected 10% workforce reduction, slower hiring and higher capex as '27 EPS and $775 PT are unchanged. We remain OW with product innovation our key thesis, but we also lay out the Neocloud "backup optionality" for META's build that could yield 8%+ upside to '28 EPS.

Adjusting Model for Headcount Reductions, Slower Hiring and Higher Capex, '27 EPS Upchanged at ~$34. Our $775 PT has 25% upside. We are adjusting our META model for the following items:

1) 10% Headcount Reduction: We are incorporating a 10% headcount reduction (~8K employees) in our model effective (and expected) in May, which leads to a $800mn estimated one-time charge this year and ~$2bn/$3.5bn of opex savings in 2H:26/FY27. This $800mn estimated charge is based on charges incurred during the "Year of Efficiency" RIF between '22-'23, when META recognized ~$2.1bn in charges and reduced headcount by 21K (or about ~$100k/head in charges). The $3.5bn of annualized savings assumes an average opex/head of ~$450K for impacted employees. Note that **social media reports over the weekend indicate META's workforce reduction could be as high as ~16K. If this is the case, it would lead to ~$3.5bn of incremental savings in '27, or ~$1.20 of EPS**, all else equal and assuming average wage of $450k/employee impacted. The company has not commented on the reports.

2) Slower Headcount Growth Going Forward: We are slowing net headcount growth in '27 from 5% (~4,200 added) to ~3.5% (~2,600 added) to try to account for the reported closure of 6,000 new job postings, as well. We continue to monitor hiring and work force reduction trends for potential evidence of even slower headcount growth ahead.

3) Raising Capex and D&A: We are raising '26/'27 capex by 7%/6% (~$10bn/$10bn) following higher guidance and in accordance with our latest bottom up GW capacity build detailed in How Much Capacity Will $2 Trillion of Hyperscaler Capex Bring By '27?. This leads to 9% higher D&A in '27. In this case, we think our modeling of cost of revenue (with D&A, hyperscaler deals, and other costs) is important to dissect (see Exhibit 2 below).

Our '27 EPS estimate is largely unchanged at ~$34 through all of the changes (workforce reductions offset higher investment) and we remain OW with a $775 PT (~25% upside). ***Please let us know if interested in our interactive headcount cost or cost of revenue (D&A and hyperscaler spend) Meta models.***

Why We are OW and What Matters Next? Our Overweight META view is based on the thesis that **META will build and scale next generation agentic and GenAI**

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Meta Platforms Inc (META.O, META US)
Top Pick

Internet | United States of America

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	**$775.00**
Shr price, close (May 15, 2026)	$614.23
Mkt cap, curr (mm)	$1,920,631
52-Week Range	$796.25-520.26

enabled products that drive more durable engagement and revenue growth. Specifically, we are focused on a next generation Muse-enabled Meta AI (see here) and other agentic offerings for advertisers and businesses that leverage META's leading distribution and datasets. We also think core growth durability (to grow 20%+) is under appreciated as META continues to improve its algorithms to drive better engagement and monetization. With 3.5bn+ daily active people on its platforms and users spending ~40/60 minutes per day on Facebook/Instagram, we believe META will continue to improve on the rate of monetization. While we don't know the timing of the products, we would remind investors that **new products can ship at any time (remember Muse) and that upcoming events like Meta Conversations on June 3 and Meta Connect on September 23-24 will be important to watch for new product updates.**

What about the Backup Safety Valve On ROIC on this Investment…Remember Compute is a Scarce Resource With Multiple Ways to Win: We think it's important for investors to remember that compute is a scarce and valuable resource and we expect that to remain the case for the next few years. As detailed in How Much Capacity Will $2 Trillion of Hyperscaler Capex Bring By '27?, we expect META to add a total effective 4.4/3.9 GW in '26/'27 (including hyperscale deals)…which is similar to other hyperscalers, despite the fact META doesn't have a public cloud business. And while the market is effectively giving this build very little (or negative) value right now…as a worst case (back up) we remind investors that compute capacity could be sold/rented to other parties for $10-15bn annually. **As shown below, even the low end of this "back-up" plan would likely add 8% to our '28 EPS**. While we do not think this is the base case or management's intention, we think it's important for the market to recognize the fungible, multi-faceted value of META's compute… with 8% EPS upside as a worst case.

Exhibit 1: Although Not Our Base Case, META's Infrastructure Build Creates a "Neocloud Safety Net Option" that Could Contribute 8%+ EPS Upside in '28

META Neocloud Optionality	
Revenue $/Watt	$10
(X) Assumed Incremental Operating Margin	90%
(=) Incremental Operating Profit $/Watt	$9
(X) Watts per GW	1,000,000,000
(=) Incremental OI per GW ($ mn)	$9,000
(X) Tax Rate	21%
(=) Incremental Net Income ($ mn)	**$7,110**
(/) Shares (mn)	2,636
(=) Incremental EPS	**$2.70**
Upside to Current '28 EPS	*8%*

Source: Company data, Morgan Stanley Research

Exhibits

Exhibit 2: We Model Rising Infrastructure Costs as META Spends on AI Infrastructure Through Capex and Cloud Deals...

	2024	2025	2026	2027
Total Depreciation	**$15,498**	**$18,616**	**$32,082**	**$55,891**
Y/Y Growth	$4,321	$3,118	$13,466	$23,809
Y/Y % Growth	39%	20%	72%	74%
Cost of Revenue ex SBC	$29,261	$35,068	$66,805	$90,652
D&A in CoR	$12,398	$13,577	$21,585	$35,403
% of D&A	80%	73%	67%	63%
COR ex D&A	$16,862	$21,491	$45,220	$55,249
Y/Y % Growth	4%	27%	110%	22%
% of Revenue	10.3%	10.7%	17.5%	17.7%
Cloud Deals	**$0**	**$1,119**	**$20,854**	**$25,879**
Y/Y Growth		$1,119	$19,735	$5,025
Y/Y % Growth			1764%	24%
CoR ex D&A ex Cloud Deals ex SBC	**$16,862**	**$20,372**	**$24,366**	**$29,370**
Y/Y Growth	$596	$3,509	$3,995	$5,004
Y/Y % Growth	3.7%	20.8%	19.6%	20.5%
% of Revenue	10.3%	10.1%	9.4%	9.4%
R&D	$30,327	$40,905	$52,010	$67,365
R&D D&A	$3,100	$5,039	$10,497	$20,488
% of D&A	20%	27%	33%	37%
R&D ex D&A	**$27,228**	**$35,866**	**$41,513**	**$46,877**
Y/Y % Growth	**9%**	**32%**	**16%**	**13%**
Y/Y Growth	**$2,301**	**$8,638**	**$5,647**	**$5,364**
% of Revenue	16.6%	17.8%	16.1%	15.0%

Source: Company data, Morgan Stanley Research

Exhibit 3: ... Offset by Workforce Reduction Savings and Slower Headcount Cost Growth in '26/'27

Meta Opex Breakdown	2025	2026	2027
Headcount Related Opex (ex D&A, Cloud Spend, Ad Expense)	$95,864	$107,914	$121,898
% Y/Y Growth	21.8%	12.6%	13.0%
$ Y/Y Growth	$17,141	$12,050	$13,983
Headcount	78,865	70,486	73,086
% Y/Y Growth	6%	-11%	4%
Abs Y/Y Growth	4,798	(8,379)	2,600
Opex per Head	**$1,215,545**	**$1,531,001**	**$1,667,864**
% Y/Y Growth	14.4%	26.0%	8.9%
$ Y/Y Growth	$152,683	$315,457	$136,863
Non-Recurring Items (Severance, Legal, Restructuring, etc.)	$0	$800	$0
Total Opex	**$117,689**	**$163,765**	**$205,801**
% Y/Y Growth	23.7%	39.2%	25.7%
$ Y/Y Growth	$22,569	$46,076	$42,036

Source: Company data, Morgan Stanley Research

Exhibit 4: Our PT Remains Unchanged at $775 (23x Our '27 EPS of $34.16)

Figures in mn	Bear	Base	Bull
EBITDA (FY27E)	$175,008	$185,526	$190,336
(X) Target Multiple	5.2x	11.1x	13.8x
Discount to 3-Year Average	-60%	-15%	5%
(=) Enterprise Value	913,540	2,066,755	2,617,122
(-) Net Debt (YE '26)	(3,550)	(9,647)	(14,089)
(÷) Shares Outstanding	2,612	2,613	2,614
(=) Multiples Based Valuation	**$351**	**$795**	**$1,007**
DCF Based Valuation	**$548**	**$756**	**$994**
PT (Average of Multiples, DCF Valuation)	**$450**	**$775**	**$1,000**
% Upside	***-27%***	***26%***	***63%***
Implied '27 P/E	**14x**	**23x**	**28x**
'27 EPS	**$31.16**	**$34.16**	**$35.46**

Source: Company data, Morgan Stanley Research

Exhibit 5: Prior vs. Current

	2026 Prior	2027 Prior	2026 Current	2027 Current	2026 Revision	2027 Revision
Total revenue	**256,671.3**	**310,086.8**	**256,708.4**	**310,050.9**	**0.0%**	**0.0%**
Advertising revenue	**250,187.0**	**301,735.7**	**250,261.7**	**301,749.6**	**0.0%**	**0.0%**
Payments/other revenue	**6,484.3**	**8,351.1**	**6,446.7**	**8,301.4**	**-0.6%**	**-0.6%**
Mobile as a % of total advertising revenue	98.3%	98.5%	98.3%	98.5%	0 bp	0 bp
Mobile ad revenue	245,860.4	297,121.4	245,934.3	297,135.7	0.0%	0.0%
% change Y/Y					--	--
Cost of revenue (ex-SBC)	66,622.2	89,074.2	66,804.8	90,651.8	0.3%	1.8%
Gross profit	**190,049.1**	**221,012.7**	**189,903.6**	**219,399.1**	**-0.1%**	**-0.7%**
Gross margin	74.0%	71.3%	74.0%	70.8%	(7) bp	(51) bp
Total operating expenses (GAAP)	**96,794.8**	**118,580.2**	**96,959.8**	**115,149.3**	**0%**	**-3%**
Sales and marketing (ex-SBC)	10,443.7	11,546.7	10,296.1	11,120.0	-1%	-4%
Research and development (ex-SBC)	52,193.4	68,980.7	52,610.3	67,365.3	1%	-2%
General and administrative (ex-SBC)	10,877.1	11,695.5	10,137.3	11,278.7	-7%	-4%
Stock-based compensation	23,280.5	26,357.4	23,916.0	25,385.2	3%	-4%
Non-recurring items	0.0	0.0	0.0	0.0	NA	NA
Depreciation and amortization (included in expense lines)	31,901.7	51,309.0	32,082.1	55,890.7	1%	9%
Total operating expenses % of Rev						
Sales and Marketing (ex-SBC)	4.1%	3.7%	4.0%	3.6%	-6bp	-14bp
Research and development (ex-SBC)	20.3%	22.2%	20.5%	21.7%	16bp	-52bp
General and administrative (ex-SBC)	4.2%	3.8%	3.9%	3.6%	-29bp	-13bp
Stock-based compensation	9.1%	8.5%	9.3%	8.2%	25bp	-31bp
Non-recurring items	0.0%	0.0%	0.0%	0.0%	0bp	0bp
Depreciation and amortization (included in expense lines)	12.4%	16.5%	12.5%	18.0%	7bp	148bp
Total costs and operating expenses (GAAP) Y/Y % Change	38.9%	27.1%	39.2%	25.7%	30 bp	(140) bp
Total costs and operating expenses (non-GAAP)	44.1%	29.4%	43.0%	29.8%	(116) bp	31 bp
GAAP Operating Income	**93,254.3**	**102,432.5**	**92,943.8**	**104,249.8**	**-0.3%**	**1.8%**
Margin	36%	33%	36%	34%		
EBITDA (adjusted)	**148,436.6**	**180,098.9**	**148,942.0**	**185,525.7**	**0.3%**	**3.0%**
EBITDA margin (adjusted)	**57.8%**	**58.1%**	**58.0%**	**59.8%**	19 bp	176 bp
Incremental EBITDA margin	46.9%	59.3%	47.8%	68.6%	88 bp	931 bp
EPS (GAAP)	**$31.65**	**$34.19**	**$32.83**	**$34.16**	**3.7%**	**-0.1%**
Average basic shares	2,575.6	2,585.3	2,566.3	2,584.4	0%	0%
Average diluted shares	2,616.4	2,626.3	2,596.7	2,614.9	-1%	0%
Capex	135,370.7	164,937.7	144,892.4	174,460.4	7%	6%
Free Cash Flow	26,102.4	23,663.1	13,249.0	15,779.2	-49%	-33%
Free Cash Flow per Share	**$9.98**	**$9.01**	**$5.10**	**$6.03**	**-49%**	**-33%**

Source: Company data, Morgan Stanley Research

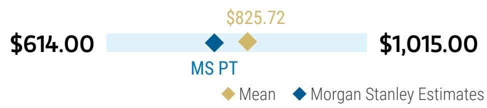
Risk Reward – Meta Platforms Inc (META.O) Top Pick

The Age of Efficiency

PRICE TARGET $775.00

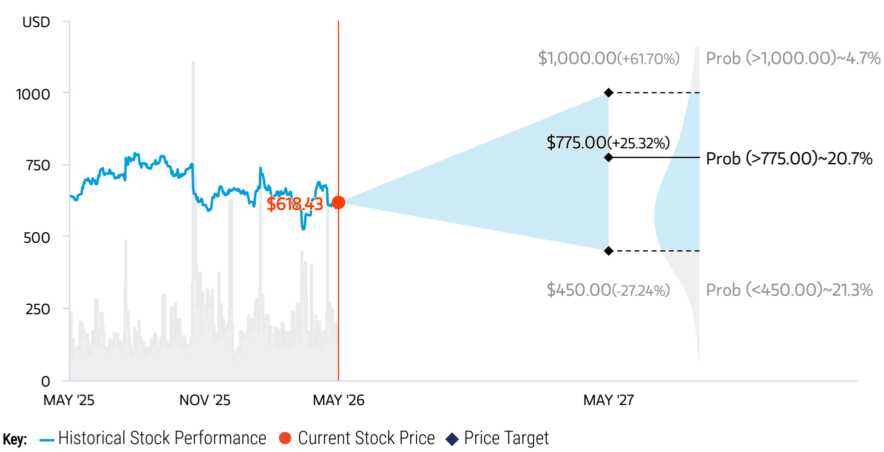
Our price target is determined using a discounted cash flow/long-term EBITDA multiple. It implies a ~23x '27 P/E Multiple. Our DCF uses an ~8% WACC and a ~3% terminal growth rate

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

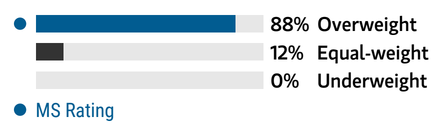


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 14 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

OVERWEIGHT THESIS

- **A Structural Pivot to Focus on Multi-Year Efficiency, Productivity and Leaner Operations...** We think META's "year of efficiency" is more than just a 365 day change...but rather a structural and cultural pivot to operate leaner and with a greater focus on investor returns...even through investment.
- **Importantly, Revenue and Engagement Trends Are Also Improving Across META's Platform...** our industry and company conversations speak to progress driving incremental Reels engagement and monetization...and traction improving ad measurement/attribution in the post IDFA world.
- **3 Underappreciated "Call Options"** including 1) further AI driven upside, 2) subscription adoption and 3) click-to-message.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era:	*Positive*
Self-help:	*Positive*
Technology Diffusion:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $1,000.00

Implied ~28x '27 P/E

AI investments drive increased engagement and lead to new products/tools, which supports outsized ad monetization and revenue growth. Execution on newer offerings (like click to message) could also contribute to higher than expected growth. META could also drive further efficiency gains and be more successful in closing the Reels monetization gap. Reality Labs losses moderate and macro environment is better than expected.

BASE CASE $775.00

Implied ~23X base case '27 P/E

Ad revenue grows ~28% in '26 as META's AI investments drive incremental Reels engagement/monetization and support improved performance and ad measurement/attribution across the Family of Apps. We also see META continuing to focus on efficiency and improving productivity.

BEAR CASE $450.00

Implied ~14x '27 P/E

Declines in engagement and/or evidence of Reels monetization ramping more slowly than expected could lead to lower growth and greater uncertainty. We also watch for any macro uncertainty, regulation that limits META's ability to target ads, Reality Labs losses widen more materially than expected, and higher capital intensity from mis-execution around the data center build. Any additional opex and capex could weigh on operating income growth and FCF.

Risk Reward – Meta Platforms Inc (META.O)

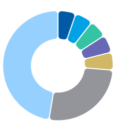
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Constant Currency % Growth (%)	22.5	26.2	20.5	18.3
Operating income (GAAP) ($, mm)	83,276	92,944	104,250	108,654
Consolidated Total Daily Active Users (mm)	2,239.9	2,294.5	2,344.5	2,389.2

INVESTMENT DRIVERS

- We are positive on META's structural pivot towards efficiency and improving revenue, engagement and Reels. We continue to monitor META's progress on call options (AI, subscriptions, click-to-message) and further investment in AI/data centers.

GLOBAL REVENUE EXPOSURE



0-10%	APAC, ex Japan, Mainland China and India
0-10%	India
0-10%	Japan
0-10%	Latin America
0-10%	UK
20-30%	Europe ex UK
40-50%	North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

3/5 BEST	24 Month Horizon
2/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than expected Reels monetization & higher engagement growth
- Increased benefit from AI investment
- Revenue driven by subscriptions and/or click-to-message ads
- Further efficiency improvements drive outsized FCF growth

RISKS TO DOWNSIDE

- Macro pressures/weaker consumer spend
- Regulation impacts ability to target ads
- Reality labs losses widen further
- Mis-execution risk could result in higher LT capital intensity

OWNERSHIP POSITIONING

Inst. Owners, % Active	55.8%
HF Sector Long/Short Ratio	2.7x
HF Sector Net Exposure	12.9%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

	Low	Morgan Stanley Estimates	Mean	High
Sales / Revenue ($, mm)	249,553	256,708	252,921	258,240
EBITDA ($, mm)	114,318	148,942	141,719	170,068
Net income ($, mm)	71,171	85,256	84,567	108,329
EPS ($)	27.28	32.83	32.90	38.62

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financials

Exhibit 6: META Income Statement

Income Statement	2023	2024	2025	2026E	2027E	'23-'27 CAGR
Advertising revenue	$131,948.0	$160,632.0	$196,174.0	$250,261.7	$301,749.6	23.0%
Payments/other revenue	2,953.0	3,868.0	4,791.0	6,446.7	8,301.4	29.5%
Total net revenue	**$134,901**	**$164,500**	**$200,965**	**$256,708**	**$310,051**	23.1%
Cost of revenue (ex-SBC)	25,208.1	29,260.6	35,067.7	66,804.8	90,651.8	37.7%
Gross profit	**$109,693**	**$135,239**	**$165,897**	**$189,904**	**$219,399**	18.9%
Gross margin	81.3%	82.2%	82.6%	74.0%	70.8%	
Sales and marketing (ex-SBC)	$11,299.2	$10,146.1	$10,528.2	$10,296.1	$11,120.0	(0.4%)
Research and development (ex-SBC)	27,162.1	30,327.2	40,904.9	52,610.3	67,365.3	25.5%
General and administrative (ex-SBC)	10,453.5	8,596.0	10,762.2	10,137.3	11,278.7	1.9%
Stock-based compensation	14,027.0	16,790.0	20,426.0	23,916.0	25,385.2	16.0%
Non-recurring items	0.0	0.0	0.0	0.0	0.0	
Depreciation and amortization (included in expense lines)	11,177.0	15,498.0	18,616.0	32,082.1	55,890.5	49.5%
Total operating expenses (GAAP)	62,941.9	65,859.4	82,621.3	96,959.8	115,149.3	16.3%
Operating income (GAAP)	**$46,751**	**$69,380**	**$83,276**	**$92,944**	**$104,250**	22.2%
GAAP operating margin	34.7%	42.2%	41.4%	36.2%	33.6%	
Adjusted EBITDA	**$71,955**	**$101,668**	**$122,318**	**$148,942**	**$185,526**	26.7%
Adj. EBITDA margin	53.3%	61.8%	60.9%	58.0%	59.8%	
Incremental adj. EBITDA margin	122.3%	100.4%	56.6%	47.8%	68.6%	
EBITDA	**$57,928**	**$84,878**	**$101,892**	**$125,026**	**$160,140**	28.9%
EBITDA margin	42.9%	51.6%	50.7%	48.7%	51.6%	
Incremental EBITDA margin	111.0%	91.1%	46.7%	41.5%	65.8%	
Interest & other income/(expense), net (GAAP)	677.0	1,284.0	2,657.0	(3,970.5)	(1,580.0)	
Pre-tax income (GAAP)	**47,428.0**	**70,664.0**	**85,933.0**	**88,973.3**	**102,669.8**	21.3%
Income tax provision/(benefit) (GAAP)	8,331.0	8,304.0	25,475.0	3,717.8	13,347.1	12.5%
Tax rate (GAAP)	17.6%	11.8%	29.6%	4.2%	13.0%	
Net income (GAAP)	**$39,097**	**$62,360**	**$60,458**	**$85,256**	**$89,323**	22.9%
EPS (GAAP)	**$14.92**	**$23.91**	**$23.49**	**$32.83**	**$34.16**	23.0%

Source: Company data, Morgan Stanley Research

Exhibit 7: META Balance Sheet

Meta | Balance sheet (USD millions)	2023	2024	2025	2026E	2027E
Balance Sheet					
Assets:					
Cash & cash equivalents	41,862.0	43,889.0	35,873.0	10,641.2	3,494.1
Marketable securities	23,541.0	33,926.0	45,719.0	57,754.0	57,754.0
Accounts receivable, net	16,169.0	16,994.0	19,769.0	25,019.1	29,635.8
Prepaid expenses and other current assets	3,793.0	5,236.0	7,361.0	16,056.8	18,213.7
Total Current Assets	**85,365.0**	**100,045.0**	**108,722.0**	**109,471.1**	**109,097.6**
Property and equipment, net	96,587.0	121,346.0	176,400.0	291,155.6	406,339.0
Goodwill & other intangible assets, net	21,442.0	21,454.0	25,334.0	25,479.8	25,455.8
Other assets	26,229.0	33,209.0	55,565.0	65,161.0	65,161.0
Total Assets	**229,623.0**	**276,054.0**	**366,021.0**	**491,267.4**	**606,053.4**
Liabilities:					
Accounts payable	4,849.0	7,687.0	8,894.0	29,583.7	35,989.4
Platform partners payable	863.0	0.0	0.0	0.0	0.0
Accrued expenses and other current liabilities	24,625.0	23,967.0	30,729.0	41,671.2	51,364.9
Deferred revenue & deposits	0.0	0.0	0.0	1,540.7	1,855.8
Capital lease obligations, current portion	1,623.0	1,942.0	2,213.0	2,414.0	2,414.0
Total Current Liabilities	**31,960.0**	**33,596.0**	**41,836.0**	**75,209.7**	**91,624.2**
Capital lease obligations, less current portion	17,226.0	18,292.0	22,940.0	22,860.1	19,450.7
Long-term debt	18,385.0	28,826.0	58,744.0	58,748.0	58,748.0
Other liabilities	8,884.0	12,703.0	25,258.0	20,461.0	20,461.0
Total Liabilities	**76,455.0**	**93,417.0**	**148,778.0**	**177,278.7**	**190,283.9**
Shareholders' Equity:					
Preferred equity	0.0	0.0	0.0	0.0	0.0
Common equity	0.0	0.0	0.0	0.0	0.0
Additional paid-in capital	73,253.0	83,228.0	95,793.0	115,221.0	133,106.2
Accumulated other comprehensive income	(2,155.0)	(3,097.0)	271.0	(303.0)	(303.0)
Retained Earnings	82,070.0	102,506.0	121,179.0	199,070.7	282,966.3
Total Shareholders' Equity	**153,168.0**	**182,637.0**	**217,243.0**	**313,988.7**	**415,769.5**
Total Liabilities & Shareholders' Equity	**229,623.0**	**276,054.0**	**366,021.0**	**491,267.4**	**606,053.4**

Source: Company data, Morgan Stanley Research

Exhibit 8: META Cash Flow Statement

Meta | Cash flow statement (USD millions)	2023	2024	2025	2026E	2027E
Cash Flow Statement					
Operating Cash Flow:					
Net income	39,097.0	62,360.0	60,458.0	85,255.5	89,322.7
Depreciation & amortization	11,177.0	15,498.0	18,616.0	32,082.1	55,890.7
Stock-based compensation	14,027.0	16,690.0	20,426.0	23,916.0	25,385.2
Deferred income taxes	131.0	(4,739.0)	18,738.0	123.0	0.0
Tax benefit from stock-based compensation	0.0	0.0	0.0	0.0	0.0
Excess tax benefit from stock-based compensation	0.0	0.0	0.0	0.0	0.0
Other	2,844.0	469.0	(1,553.0)	8,558.0	10,000.0
Funds from operations	**67,276.0**	**90,278.0**	**116,685.0**	**149,934.7**	**180,598.6**
	0.0	0.0	0.0	0.0	0.0
Changes in Working Capital:					
Accounts receivable					
Prepaid expenses & other current assets	560.0	(698.0)	(88.0)	(7,365.8)	(2,156.9)
Other assets	(80.0)	(269.0)	(481.0)	(1,082.0)	0.0
Accounts payable	51.0	373.0	(14.0)	15,320.7	6,405.7
Platform partners payable	(271.0)	0.0	0.0	0.0	0.0
Accrued expenses & other current liabilities	5,352.0	324.0	1,077.0	10,387.2	9,693.7
Deferred revenue & deposits	0.0	0.0	0.0	1,540.7	315.1
Other liabilities	624.0	2,806.0	437.0	(5,173.0)	0.0
Changes in Working Capital	**3,837.0**	**1,050.0**	**(885.0)**	**8,206.7**	**9,641.0**
Operating Cash Flow	**71,113.0**	**91,328.0**	**115,800.0**	**158,141.4**	**190,239.6**
	0%	0.0	0.0	0.0	0.0
Investing Cash Flow:					
Purchases of PP&E (Capex)					
Purchase of marketable securities	(2,981.0)	(25,542.0)	(36,929.0)	(38,978.0)	(8,000.0)
Maturities and sales of marketable securities	6,184.0	15,789.0	26,874.0	25,176.0	8,000.0
Investments in non-marketable equity securities	0.0	0.0	(21,206.0)	(544.0)	0.0
Acquisitions, net of cash, & purchases of intangible and other assets	(653.0)	(141.0)	(1,051.0)	(335.0)	0.0
Change in restricted cash & deposits	0.0	0.0	0.0	0.0	0.0
Investing Cash Flow	**(24,495.0)**	**(47,150.0)**	**(102,003.0)**	**(156,072.5)**	**(171,051.0)**
	0.0	0.0	0.0	0.0	0.0
Financing Cash Flow:					
Net proceeds from issuance of common stock					
Net proceeds from issuance of preferred stock	0.0	0.0	0.0	0.0	0.0
Proceeds from exercise of stock options	0.0	0.0	0.0	0.0	0.0
Proceeds from / (repayments of) long-term debt	8,455.0	0.0	29,906.0	0.0	0.0
Proceeds from sale & lease-back transactions	0.0	0.0	0.0	0.0	0.0
Cash dividends paid	0.0	(5,071.0)	(5,324.0)	(5,408.6)	(5,427.1)
Principal payments on capital lease obligations	(1,058.0)	(1,969.0)	(2,524.0)	(3,500.9)	(3,409.4)
Excess tax benefit from stock-based award activities	(19,916.0)	(19,970.0)	(24,028.0)	(17,500.0)	(17,500.0)
Other	(7,011.0)	(13,771.0)	(18,400.0)	0.0	0.0
Financing Cash Flow	**(19,530.0)**	**(40,781.0)**	**(20,370.0)**	**(26,409.5)**	**(26,336.6)**
Effects of FX	113.0	(786.0)	235.0	7.0	0.0
Beginning Cash	14,681.0	41,862.0	43,889.0	35,873.0	10,648.2
(+/-) Net changes in cash	27,201.0	2,611.0	(6,338.0)	(24,333.6)	(7,147.9)
(+/-) Restatements / adjustments	(20.0)	(584.0)	(1,678.0)	(891.2)	0.0
Ending Cash	**41,862.0**	**43,889.0**	**35,873.0**	**10,648.2**	**3,500.3**

Source: Company data, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of April 30, 2026)

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Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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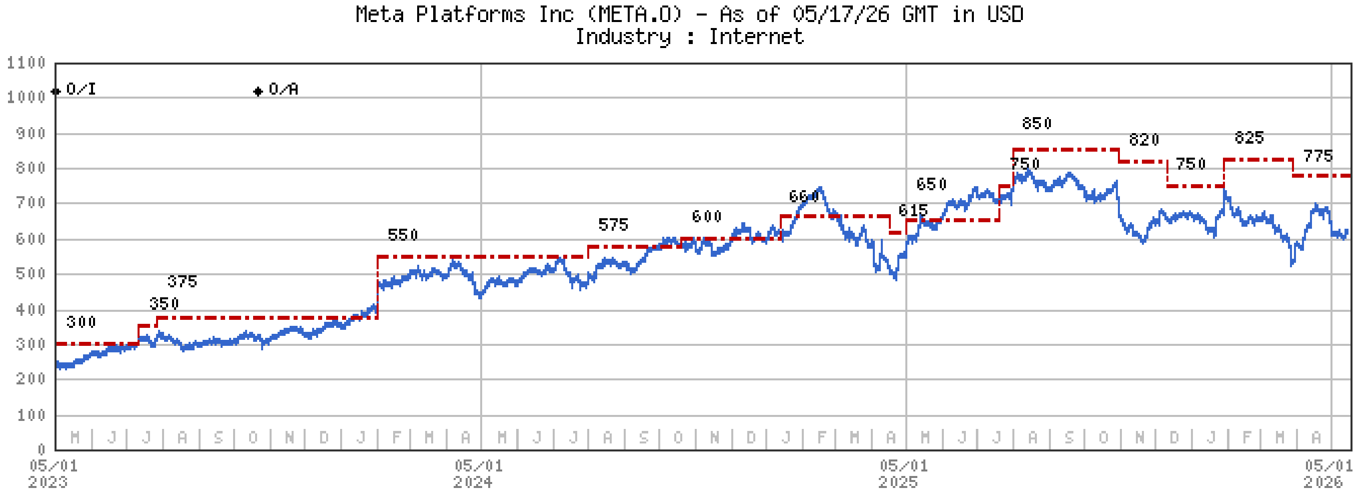
Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 5/1/21 : O/I; 10/27/22 : E/I; 3/20/23 : O/I; 10/22/23 : O/A

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INDUSTRY COVERAGE: Internet

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/15/2026)
Brian Nowak, CFA		
Airbnb Inc (ABNB.O)	U (12/06/2022)	$132.85
Alphabet Inc. (GOOGL.O)	O (08/11/2015)	$396.78
Amazon.com Inc (AMZN.O)	O (04/24/2015)	$264.14
Booking Holdings Inc (BKNG.O)	O (02/23/2026)	$154.13
DoorDash Inc (DASH.O)	O (02/21/2024)	$159.20
Expedia Inc. (EXPE.O)	E (01/09/2019)	$217.73
Instacart (CART.O)	E (01/29/2024)	$39.71
Lyft Inc (LYFT.O)	E (10/24/2019)	$12.97
Meta Platforms Inc (META.O)	O (03/20/2023)	$614.23
Pinterest Inc (PINS.N)	O (07/20/2025)	$19.47
Reddit Inc (RDDT.N)	O (12/08/2024)	$158.17
Snap Inc. (SNAP.N)	E (07/22/2024)	$5.53
Uber Technologies Inc (UBER.N)	O (06/04/2019)	$75.09
Matthew Cost		
AppLovin Corp (APP.O)	O (04/10/2025)	$501.00
Compass, Inc. (COMP.N)	E (01/12/2026)	$7.88
Criteo SA (CRTO.O)	E (01/26/2016)	$16.06
DoubleVerify Holdings Inc (DV.N)	E (06/25/2024)	$9.06
Electronic Arts Inc (EA.O)	E (08/04/2021)	$200.64
MNTN Inc (MNTN.N)	E (06/16/2025)	$7.78
Opendoor Technologies Inc (OPEN.O)	E (07/24/2023)	$4.38
Playtika Holding Corp (PLTK.O)	E (11/27/2022)	$3.57
Roblox Corporation (RBLX.N)	O (11/04/2024)	$42.85
Shutterstock Inc (SSTK.N)	E (07/28/2022)	$16.52
Take-Two Interactive Software (TTWO.O)	O (02/01/2018)	$242.44
Trade Desk Inc (TTD.O)	E (09/10/2025)	$21.15
Unity Software Inc (U.N)	O (09/02/2024)	$27.16

Webtoon Entertainment Inc (WBTN.O)	E (07/22/2024)	$12.09
Yelp Inc (YELP.N)	U (01/10/2019)	$21.65
Zillow Group Inc (Z.O)	E (04/18/2018)	$37.66
Nathan Feather		
Bumble Inc. (BMBL.O)	E (03/08/2021)	$3.14
Chewy Inc (CHWY.N)	O (10/31/2023)	$21.28
Duolingo Inc (DUOL.O)	E (02/27/2026)	$112.06
eBay Inc (EBAY.O)	O (04/18/2024)	$116.13
Etsy Inc (ETSY.N)	E (07/20/2025)	$58.07
FIGS, Inc. (FIGS.N)	E (02/29/2024)	$11.77
Grindr Inc. (GRND.N)	E (02/24/2026)	$13.40
Match Group Inc (MTCH.O)	E (04/18/2024)	$35.40
Peloton Interactive, Inc. (PTON.O)	E (03/14/2022)	$5.29
Revolve Group Inc (RVLV.N)	E (10/20/2024)	$18.61
WW International Inc (WW.O)	E (08/01/2025)	$10.68

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.